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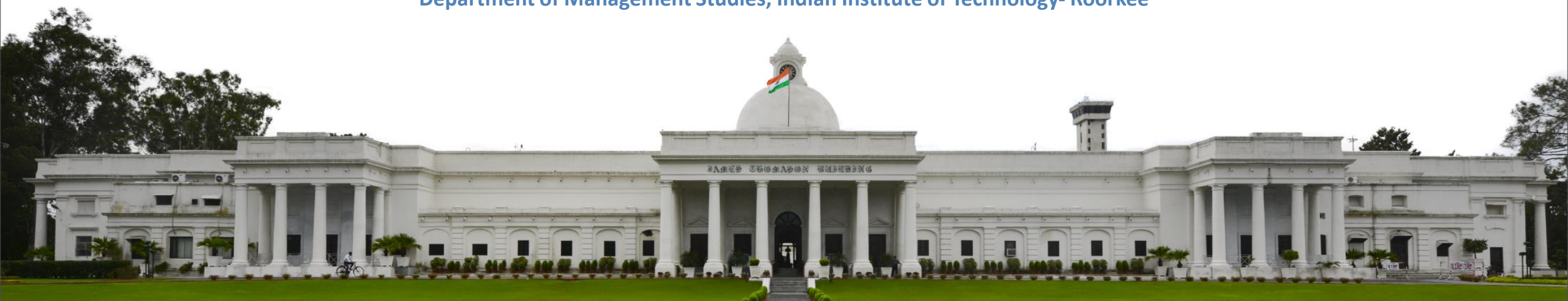
# Human Resource Analytics

## Lecture 44

### Managerial challenges of performance management -I

Prof Santosh Rangnekar

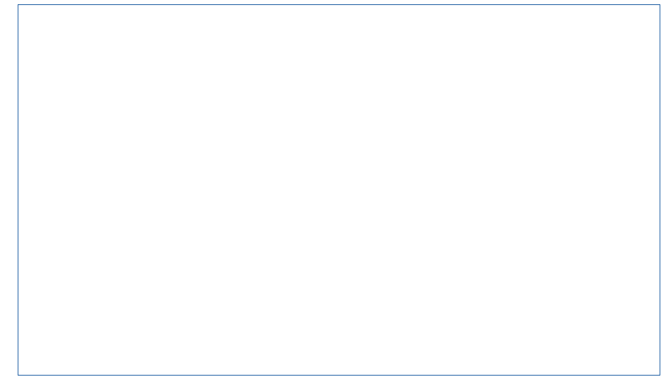
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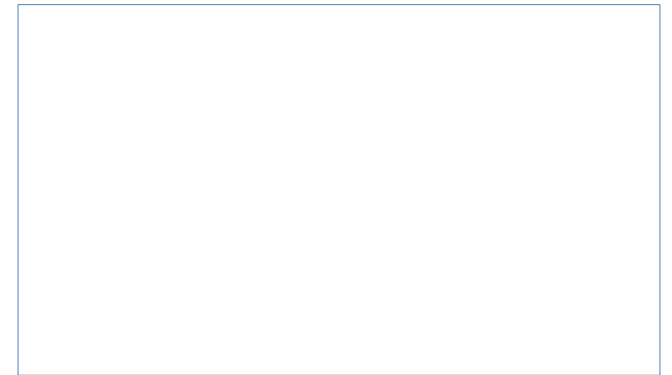
# Content

Challenges faced during process of performance evaluation involves following steps:

1. Establish Performance Standards
2. Communicate the Standards
3. Measure Actual Performance



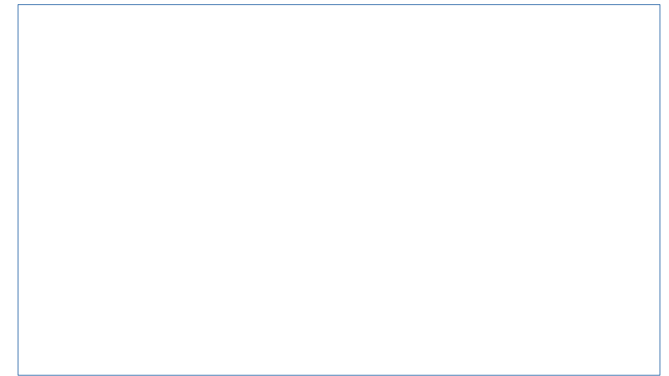
# 1. Establish Performance Standards



# Aligning Performance Standards with Company Objectives and Values

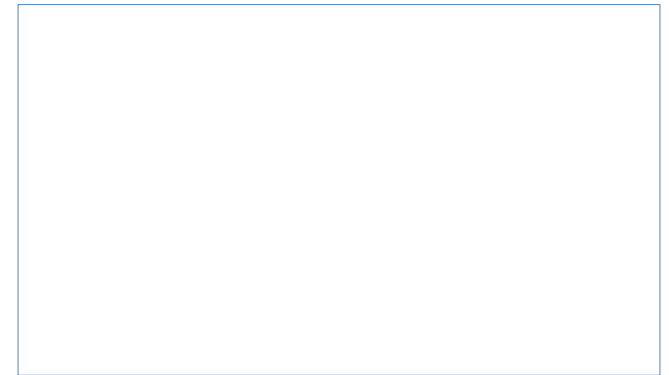
Aligning performance standards with company objectives and values means ensuring that the criteria used to evaluate employee performance directly support the broader strategic goals and cultural ethos of the organization. This alignment is crucial as it ensures that every employee's contributions are directed towards the company's mission and vision, fostering a unified and purpose-driven workplace.

Performance standards should be derived from, and directly linked to, the strategic objectives of the company. For example, if a company prioritizes innovation as a core objective, its performance standards should include metrics that encourage and measure innovation, such as the number of new ideas generated or successfully implemented projects.



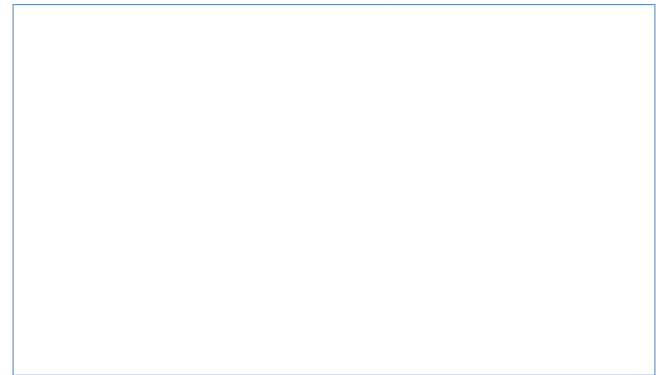
# Aligning Performance Standards with Company Objectives and Values

While the overall objectives and values should remain consistent across the company, the specific performance standards may need to be tailored to different departments or roles. This customization allows for the standards to be relevant and achievable, whether they're for a tech team pushing software developments or a sales team enhancing customer engagement.

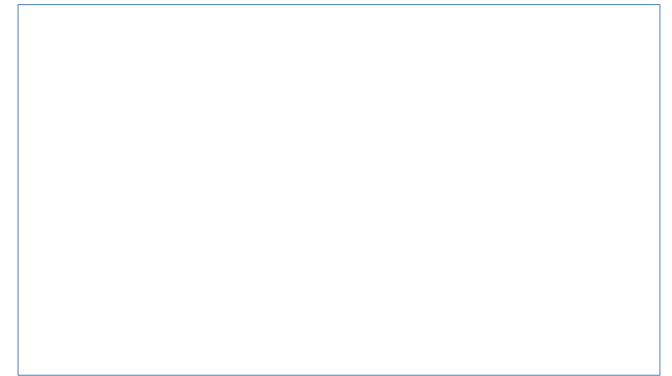


# Case 1: Aligning Performance Standards with Company Objectives and Values

Imagine a tech startup, "InnovateTech," that values agility and employee empowerment. To align performance standards with these values, HR plans a series of workshops with department heads to define key performance indicators (KPIs) that reflect not only business targets but also behavioral expectations that embody agility and empowerment. For example, for the software development team, performance standards include not only code quality and project completion rates but also proactive contributions to innovation sprints and participation in cross-functional training. This approach aims to weave the company's strategic goals and cultural values into every employee's daily tasks.



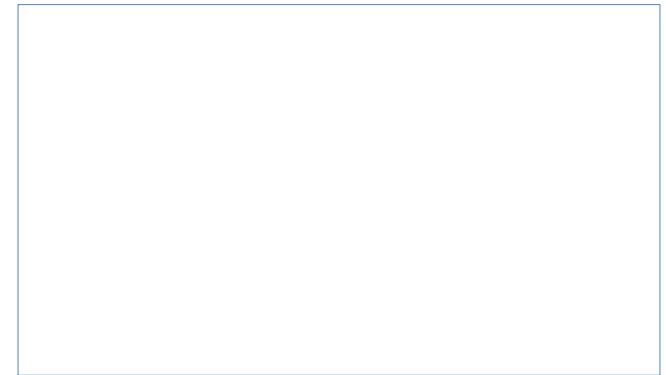
**How can we ensure the performance standards align with our company's strategic objectives and cultural values?**



## Fair, Equitable, and Inclusive Metrics

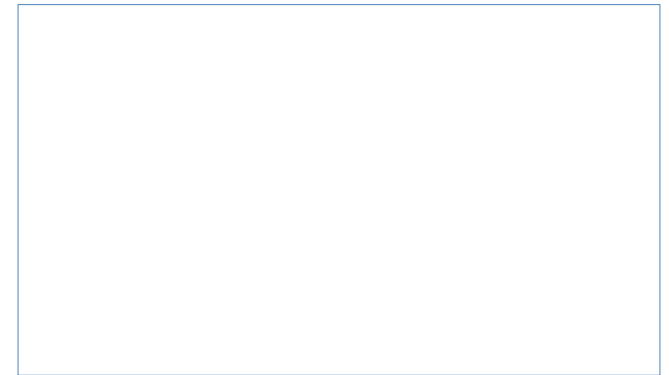
-Fair, equitable, and inclusive metrics in HRM performance management refer to the establishment and use of performance evaluation criteria that are impartial, non-discriminatory, and considerate of the diverse backgrounds and roles of all employees. These metrics aim to ensure that every employee is evaluated based on relevant, objective criteria without bias related to their race, gender, age, or other unrelated factors.

-To achieve fairness and equity, metrics should be designed to apply universally where appropriate, alongside additional role-specific criteria tailored to the distinct functions of different jobs. This approach helps in measuring performance in a manner that accurately reflects each employee's contributions and responsibilities.



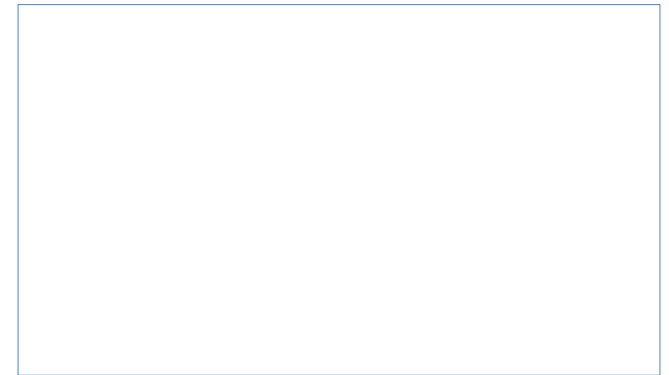
## Fair, Equitable, and Inclusive Metrics

It is vital for the organization to maintain transparency about how performance is measured and how these metrics are applied. Clear communication about the criteria and the rationale behind them helps in building trust and acceptance among employees, fostering a sense of fairness and inclusivity.

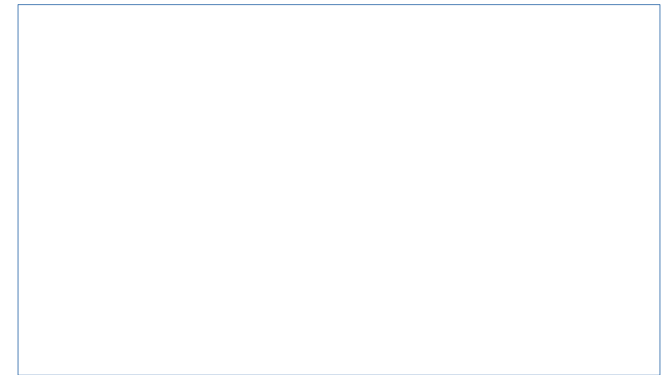


## Case 2: Fair, Equitable, and Inclusive Metrics

Consider "GlobalSolutions," a multinational company with a diverse workforce, including remote teams. To develop inclusive performance metrics, HR collaborates with consultants specializing in diversity and inclusion. They create a performance evaluation system that uses standardized project outcomes to assess performance while also including metrics like collaborative teamwork and cultural competency. This system is designed to be fair across various roles, such as in-office employees and remote staff, by focusing on outcomes and core competencies rather than physical presence in the office or work hours, which accommodates different time zones and work-life balance preferences.



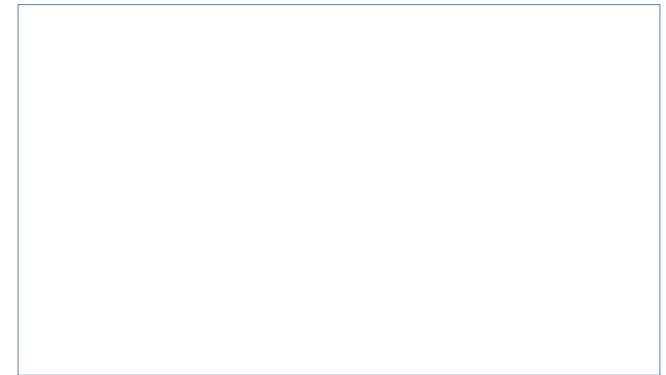
**What metrics can we use to measure performance that are fair, equitable, and inclusive across diverse job roles and employee backgrounds?**



# Integrating Continuous Improvement

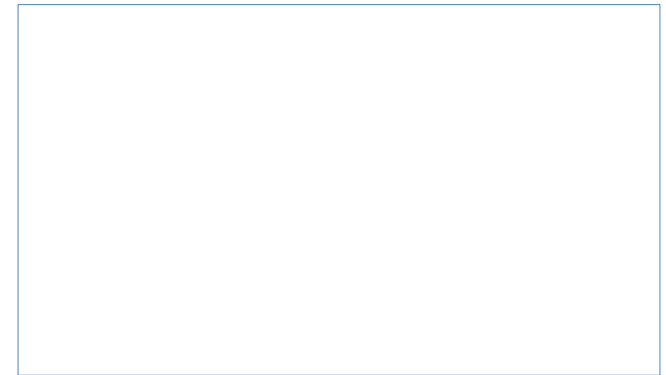
-Continuous improvement in HRM performance management refers to the ongoing process of identifying, evaluating, and enhancing individual and organizational performance. It involves regular assessments and feedback cycles that aim to steadily improve employee skills, processes, and outcomes aligned with strategic goals.

-Continuously improving performance management systems necessitates providing employees with access to training and development programs tailored to the identified gaps in performance. This approach ensures that employees not only understand their current performance levels but are also equipped with the necessary tools and knowledge to enhance their capabilities.



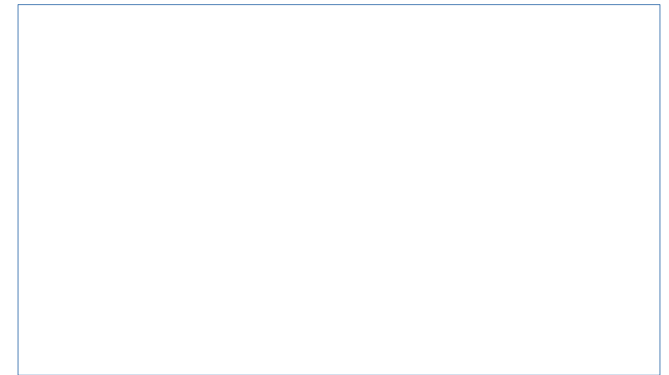
# Integrating Continuous Improvement

Leveraging advanced HR technologies, such as performance management software and data analytics, can facilitate continuous monitoring and analysis of performance data. This technology allows for real-time feedback, trend analysis, and predictive insights, helping organizations to proactively manage and improve employee performance.

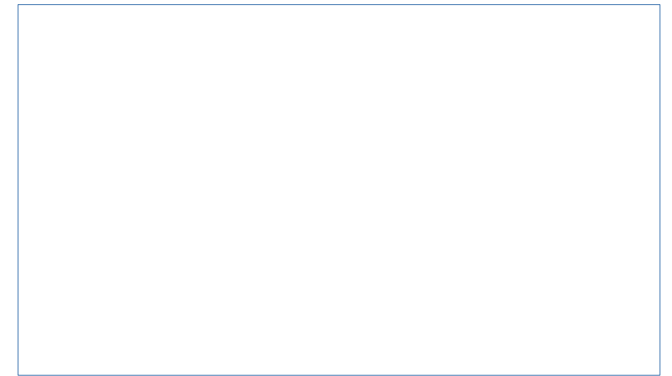


## Case 3: Integrating Continuous Improvement

At "AutoAdvance," a manufacturing firm, HR introduces a performance standard that includes "continuous improvement" as a core component. Each employee sets quarterly personal improvement goals aligned with operational efficiency and innovation. Employees are evaluated not just on their immediate job outputs but also on their documented efforts to learn new skills or optimize processes. This initiative includes providing access to online courses and in-house training sessions to support employee growth and adaptability.

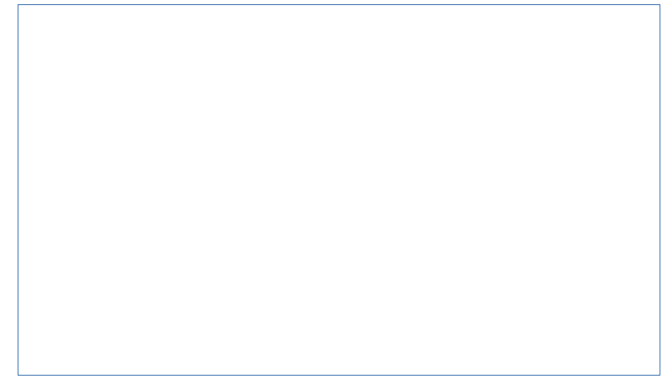


**How can we integrate continuous improvement and innovation into our performance standards?**



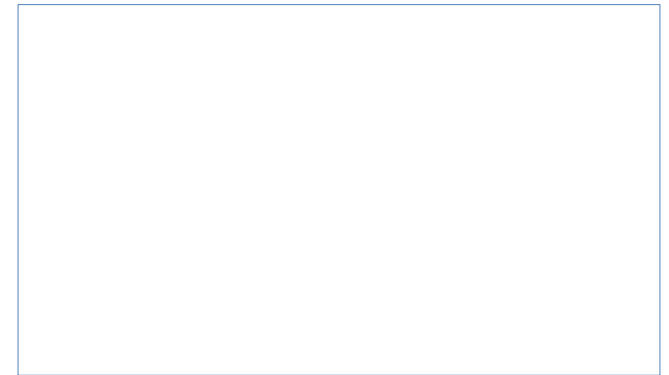
# Adapting to Changes in Job Roles and Industry Standards

Adapting to changes in job roles involves continuously analyzing and updating the job descriptions and performance criteria to reflect new responsibilities, technologies, and methods. This ensures that performance management standards remain relevant as job functions evolve due to technological advancements or shifts in business strategy.



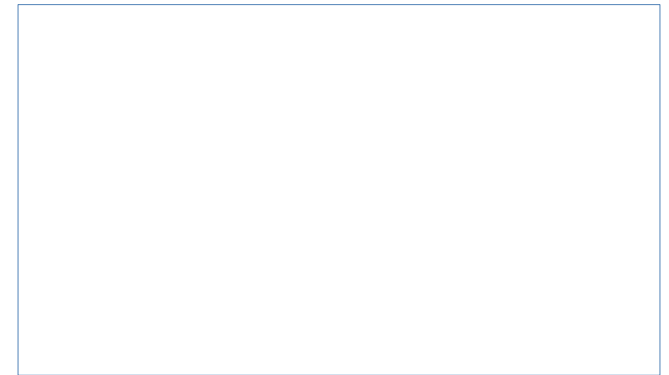
# Adapting to Changes in Job Roles and Industry Standards

Aligning with Industry Standards: This point emphasizes the importance of keeping abreast of changes in industry standards, certifications, and best practices. HR managers need to integrate these changes into performance expectations to maintain competitive and compliant workforce practices. Regular industry benchmarking helps ensure that the company's performance standards are up to date and in line with external expectations.

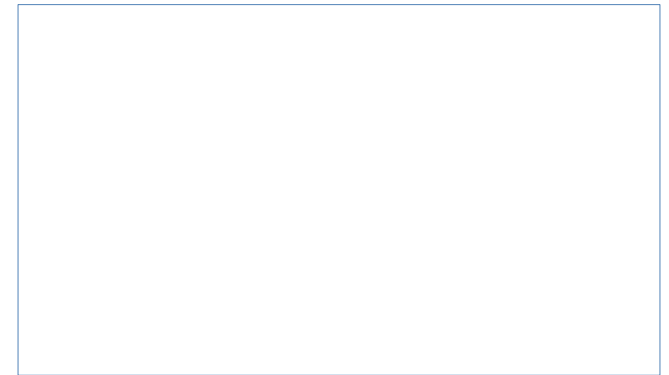


## Case 4: Adapting to Changes in Job Roles and Industry Standards

"HealthPlus," a healthcare provider, faces frequent changes in healthcare regulations and technology. HR develops adaptable performance standards by instituting annual reviews of job descriptions alongside a flexible skills development program. As telehealth technology evolves, performance criteria for healthcare providers are adjusted to include proficiency in new telehealth platforms and compliance with updated privacy regulations. These criteria are communicated through regular training sessions and integrated into the appraisal system.



**In what ways can we make the performance standards adaptable to changes in job roles and industry standards?**



# Thank You

